THE JAPANESE CHAMBER OF COMMERCE & INDUSTRY

Hiệp Hội Doanh Nghiệp Nhật Bản tại Việt Nam
Phòng 605, Tòa nhà Mặt Trời Sông Hồng, 23 Phan Chu Trinh,
Hoàn Kiếm, Hà Nội
Tel: 84-24-2220-9907 - Fax: 84-24-2220-9909

The Japanese Chamber of Commerce & Industry in Vietnam
Room 605, Sun Red River Bldg., 23 Phan Chu Trinh St.,
Hoan Kiem Dist., Hanoi
Tel: 84-24-2220-9907 - Fax: 84-24-2220-9909

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IN VIET NAM

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SOCIALIST REPUBLIC OF VIETNAM

Independence –Freedom- Happiness

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Hanoi, 28th August 2020

Respectfully to: Ministry of Science & Technology
Technology Evaluation, Appraisal and Inspection Department

First of all, the Japanese Chamber of Commerce and Industry in Viet Nam ("JCCI") would like to express our sincere thanks to the Ministry of Science & Technology ("MOST") who organized the consultation on the ***Draft Circular guiding forms for appraising and commenting on technology of investment projects*** *(hereinafter referred to as "Draft"),* thereby creating conditions for us to have the opportunity to comment on the Draft.

Regarding the contents of the Draft, we have some specific comments as follows:

1. Regarding the scope of the Draft:

Draft Statement on promulgation of Circular guiding forms for appraising and commenting on technology of investment projects *(hereinafter referred to as "Draft Statement")* explained the necessary to issue the Circular: "*Before the Law on Technology Transfer 2017 takes effect, the appraisal or comment on technology of investment projects shall be implemented in accordance with Circular No. 03/2016/TT-BKHCN... Currently, the appraisal or comment on the technology of investment projects is implemented in accordance with the Law on Technology Transfer 2017 (takes effect from July 1, 2018) and Decree 76/2018/ND-CP dated May 15, 2018 of the Government detailing and guiding the implementation of a number of articles of the Law on Technology Transfer. However, 2 aboved mentioned documents has not detail guidance about the essential issued documents for implementing appraisal or having opinion about technology of investment project*". In addition, the Draft Statement also clearly states the viewpoint of the Draft: *"Ensure the inheritance of relevant contents related to the technology appraisal of investment projects specified in Circular No. 03/2016/TT-BKHCN".*

Accordingly, we understand that the promulgated Draft will replace the content of technology appraisal of investment projects in Circular No. 03/2016/TT-BKHCN.

However, the content of the Draft does not mention the invalidation of the content about technology appraisal of the project in Circular 03/2016/TT-BKHCN. Meanwhile, Law on Technology Transfer 2017 and the Law on Science and Technology 2013 all have regulations on the technology appraisal of the project, but these laws and the guiding documents doesn't clarify which law will be applied in which case.

In addition, the contents about technology appraisal of projects in the Law on Technology Transfer 2017 and Decree 08/2014/ND-CP guiding the Law on Science and Technology 2013 and Circular 03/2016/TT- BKHCN are also inconsistent (on both the cases of technology appraisal as well as the order and procedures for implementation).

For example, according to the Law on Technology Transfer 2017, not all cases of investment registration are required to appraise or collect opinions on the technology of an investment project, but it is only applied in the cases regulated in Article 13. However, according to Decree 08/2014/ND-CP, all investment projects are *"subject to investment registration must be appraised about scientific basis and appraise technology by the Department of Science and Technology before issuing an investment certificate in accordance with the law on investment"*.

Besides, the forms of Circular 03/2016/TT-BKHCN also overlap with those in the Draft but the content is not completely consistent.

For example: The Draft has 02 forms of Appraisal or comments form on technology of investment project in the stage of investment policy decision and investment decision. Circular 03/2016/TT-BKHCN also stipulates Form 1. Technology appraisal form of investment project. However, the contents of these forms are not completely the same (for example, in Form 1. Technology appraisal form of the investment project of Circular 03/2016/TT-BKHCN, the appraisal contents includes Project implementation location (Land area, Selected location is in the plan or not,.) but 02 forms of appraisal form in the Draft do not include this content…).

With the above issues, enterprises will face difficulty in determining whether the content of technology appraisal according to the provisions of the Law on Technology Transfer 2017 will replace the corresponding provisions in the Law on Science and Technology 2013 or not. In case the provisions of these two laws still exist in parallel, how will the scope of these provisions be different?

➢ **JCCI's proposal:**

- Stipulate clearly, which content of Circular 03/2016/TT-BKHCN will be replaced by the Draft.

- In case the guiding documents of the Law on Science and Technology 2013 (Decree 08/2014/ND-CP and Circular 03/2016/TT-BKHCN) still take effect in parallel with the provisions of the Law on Transfer technology transfer 2017 and Draft, state authority should provide specific guidance on application scope of these documents.

2. Regarding the content of the Draft's forms:

JCCI understands that the basis to issue the forms in the Draft is the contents specified in Law on Technology Transfer 2017. Specifically, the forms will only include the contents within the scope of the law as *Appraisal or comment content on technology of investment project (Article 19 Law on Technology Transfer 2017).* However, with the forms of the Draft, we realize that there are contents that are not within the mentioned above provisions of the law. **Example**: Form No. 8 Form of report on appraisal results of the Science and Technology Advisory Council in the stage of investment

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policies decision contains the content: *the authority to decide on investment policy, the necessary of project investment, the project in accordance with socio-economic development strategy & planning, sector development planning, and compliance with investment policy* (not under one of the content of Article 19).

In addition to the issue that the Draft's forms is not really consistent with the provisions of the law, it will be more suitable if the above contents is under with the assessment of the authority governing investment matters rather than the technology evaluation.

- **JCCI's proposal: It is necessary to review the contents of all the forms to ensure compliance with the provisions of law and retain the contents under the scope of appraisal or comment on the technology of the investment project only.**

We hope the agency to consider the matters and suggestions mentioned above of the enterprise, thereby proposing amendments and supplements to the Draft to be issued in accordance with the reality, creating motivation for enterprises to produce and develop business.

Sincerely thanks./.

Recipients:
- As above;
-Foreign Investment Agency (MPI)
- Embassy of Japan in Vietnam;
- The Japanese Business Association of Ho Chi Minh City;
- The Japan Business Association in Danang City
-Save in JCCI office

THE JAPANESE CHAMBER OF COMMERCE AND INDUSTRY IN VIET NAM
General Secretary

Hatta Jonosuke